

HEADLINE JUDGMENT

Score HOLDS at 27/30 for a thirteenth consecutive edition. No channel moved, and both live MARKET downgrade candidates moved AWAY on their binding legs. The day's event is that the Iran-Oman corridor acquired PARAMETERS without acquiring COORDINATES — and the terms that emerged describe a formalisation of Iranian control over the Strait, not a lifting of it, while the oil price sold off for a third session — on this monitor's reading, a market pricing a reopening the published terms do not describe. **One.** On 26 August Deputy Foreign Minister Gharibabadi gave the first operational description of the corridor named in the 25 August joint statement: **seven miles wide, entry through Iranian territorial waters and part of the exit route likewise, explicitly TEMPORARY**, with an IRGC spokesman claiming that Tehran and Muscat have agreed **each country's share of the waters and of the revenues**, and an army spokesman that vessels pass **only if Iran grants permission. (!) ALL THREE ARE IRANIAN OFFICIAL SOURCES — TIER 3 — and the IRGC claim is an Iranian assertion about what OMAN agreed, which Oman has not confirmed and has not published. Read them as Tehran's account of the instrument, not as the instrument. Read the terms rather than the headline: a corridor that begins in Iranian territorial waters, runs on Iranian permission and generates shared revenue is a toll booth built where a blockade stands, and it would displace the US-backed southern Omani-coast lane the American escort operation actually uses. Tier 3 sourcing throughout, RELAYED by Reuters, Euronews and Al Jazeera and not independently corroborated — relay is not corroboration. Two, and the reason the escalation channel does not move. No route coordinates have been published; the Oman foreign ministry published NOTHING on the corridor on 26 or 27 August — its only 26 August items concern Tunisia, Brunei and Kazakhstan — the joint DECLARATION on which Qatar gates all mediation is still not issued, and Gharibabadi said the same day that Iran does not consider the Strait open until Washington lifts the blockade, drops oil sanctions and releases frozen assets. Omani Foreign Minister Badr Albusaidi's own word, posted on X, is that the two hope to announce the corridor 'soon' — which is itself confirmation that it was not announced in publishable form. An announcement is not an event (\$9.11); an announcement of an intention to announce is further still. Three — and this is the largest single change in the document. For one session the United States bond market traded the Fed rather than the Gulf. July PCE landed on 26 August with the headline index **+0.2% m/m and +3.7% y/y, both above consensus**, core in line at **+0.2% / +3.3%**, and **real consumer spending flat at 0.0%**. The front end sold off and the long end did not: the 2-year rose **3.52 bp to 4.2093%** against **1.77 bp** on the 10-year, flattening **2s10s to 43.308 bp**, the flattest close since **6 August** — while the 30-year moved **0.20 bp**. That is the war's inflation arriving in the Fed reaction function rather than in the term premium — a different transmission from the one this document has tracked since March, and it is the clearest such session this monitor has recorded — American data, not the American long end, carrying the move. Four. Threshold B did NOT re-arm. The 30-year closed **5.1671%**, short of **5.20%** by **3.29 bp**, and the 10-year **4.6465%**, short of **4.65%** by **0.35 bp**. There was no fourth one-session round trip; the FIFTH lapse is now two closes old — the ordinals are recomputed each edition and the 26 August edition's were one too high (\$2.2). On the 27 August intraday the 10-year leg is SATISFIED at **4.6624%** and only the 30-year fails, by **1.73 bp**. Five. \$9.15 is restored after exactly one session. The two Treasury downgrade legs converged on 25 August; on 26 August they rotated apart again — **MOVE fell 2.48 to 69.44, a SEVENTH consecutive close below 75, while the 30-year gap WIDENED from 16.51 to 16.71 bp**. The US-inflation gap widened too, **15.71 to 16.12 bp**, as the 5y5y forward closed back **ABOVE** the **2.30%** that fired it after a single close below. **Two MARKET downgrade candidates, both nearer than any channel has been since July, and both further away on their binding legs than they were yesterday. A third candidate sits in the escalation channel, whose kinetic leg moved CLOSER while its talks leg moved backwards — see \$2.1. Six. The SPR broke 290. It drew 3.7 mn bbl to 289.7 mn — sourced to the DOE's own SPR office, not to the EIA weekly, because every first-party EIA endpoint served a stale document or returned empty (\$9.45). Seven. Diesel set a fourth war high at \$5.6230, now 19.29 cents from its all-time record — but decelerating, +11.88c on the week against +15.22c a session earlier — while AAA regular ticked up 0.45 cents, which is a print and not a turn, and the scored all-grades series went dark for a second session. \$9.30: no trend is read through dark sessions in either direction. Sequencing 27 → 27 → 27 — the last three editions' totals, in order.****

1 · LIVE TAPE

Scoring reference is the 26 August close (Wed); the 27 August row is a Singapore-AM snapshot and moves no channel (\$4a). All three standing integrity checks CLEAR and there is no restatement — A1.1. The 27 August US session had not begun at the cut, so US items dated 27 August are PROSPECTIVE, not unobtained (\$9.46). Full commentary is in ANNEX A1.

1.1 · Energy

Series	24 Aug	25 Aug	26 Aug close	27 Aug intr.	Trigger note
Brent CO2 (scored)	90.54	87.27	86.94	86.42	\$8.06 from the \$95 upgrade, WIDENED from \$7.73 — a second consecutive widening. Third down-close
Brent COA (active)	92.17	88.58	87.84	87.23	\$7.16 from \$95, from \$6.42. Quote both bases (\$9.36)
WTI CL2 / CLA	83.30 / 85.01	80.88 / 82.36	80.85 / 82.23	80.30 / 81.73	Basis 1.38–1.71 across the four sessions shown, no sign change; d/d comparable from 21 Aug forward only
Henry Hub NGA	2.782	2.770	2.842	2.868	7.22% BELOW its \$3.063 pre-war anchor
TTF TZTA	68.320	66.588	65.626	66.100	+110.2% vs pre-war. The 24 Aug war-record close stands; two down-closes since
Asia LNG JGLA	3,680	3,793	3,623	no print	The three-session record run ENDED: –170 on 26 Aug. +117.1% vs pre-war; the 3,793 war high stands

The structural fact is unchanged and it is the one that identifies this as a routing shock rather than a global energy shock: European and Asian gas sit at or beside war records while US Henry Hub closed **7.22% BELOW** its pre-war anchor. Both gas benchmarks fell on 26 August, the first session of the window in which they fell together — no named, dated attribution for that move could be sourced in either benchmark (A1.3), so no cause is assigned here.

1.2 · US Treasuries and inflation expectations

Basis points. A bear flattener: the front end carried the move and the long end barely participated.

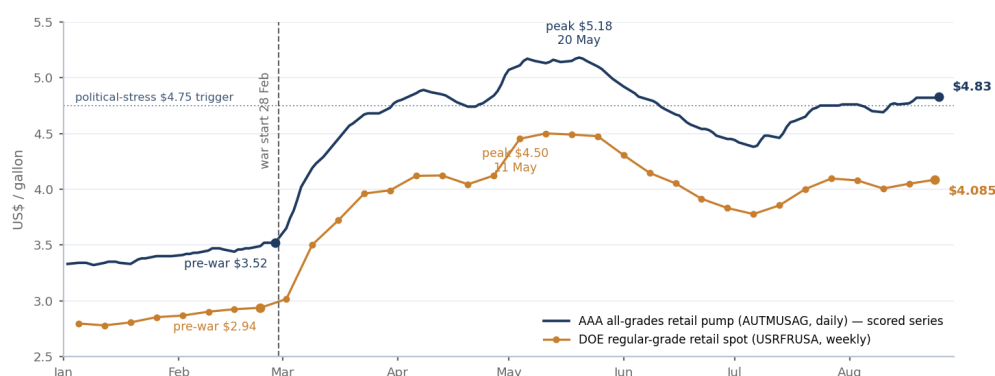
Tenor	24 Aug	25 Aug	26 Aug close	27 Aug intr.	d/d 26v25, bp	Trigger note
2-year / 5-year	4.2316 / 4.4011	4.1741 / 4.3353	4.2093 / 4.3619	4.2217 / 4.3820	+3.52 / +2.66	No trigger on either tenor — but the 2-year led the curve, which is a Fed-repricing signature
10-year	4.6961	4.6288	4.6465	4.6624	+1.77	Fails Threshold B's 4.65% leg by 0.35 bp. SATISFIED on the 27 Aug intraday
30-year	5.2245	5.1651	5.1671	5.1827	+0.20	Downgrade leg fails by 16.71 bp, WIDENED from 16.51; fails B's 5.20% by 3.29
2s10s (USYC2Y10)	45.817	45.257	43.308	43.862	-1.95	FLATTEST CLOSE SINCE 6 AUGUST (42.614), and 12.33 bp flatter than the 55.64 pre-war anchor. (!) USYC2Y10 is a SEPARATE Bloomberg series and is NOT the arithmetic difference of the printed 2-year and 10-year generics — do not derive one from the other
10y BE / 5y5y fwd	2.3299 / 2.3076	2.3135 / 2.2991	2.3260 / 2.3032	2.3277 / 2.3005	+1.25 / +0.41	5y5y closed back ABOVE the 2.30% that FIRED the upgrade after ONE close below — 16.12 bp above the 2.142% downgrade anchor, WIDENED from 15.71 (\$9.26). BE10 6.91 bp above its 2.2569 anchor, from 5.66

1.3 · Cross-asset

Series	25 Aug	26 Aug close	vs pre-war	Note
MOVE	71.92	69.44	-3.94 vs 73.38	SEVENTH consecutive close below 75 (18–26 Aug); longest run since 10 Jun–10 Jul, against an intervening maximum of five (15–21 Jul). Second-lowest of the sub-75 phase begun 12 Aug, behind the 69.23 of 13 Aug
VIX / DXY / SOFR	15.45 / 98.915 / 3.66	15.21 / 99.165 / no print	-4.65 / +1.56 / —	Dollar to its firmest close since 18 Aug. SOFR has no 26 or 27 Aug print and is reported blank, not carried (\$9.9)
Gasoline AAA all-grades (AUTMUSAG) — scored	4.83	no print	+1.31 vs 3.52	DARK on 26 and 27 Aug. Last print \$4.83 (25 Aug), 23c above the \$4.60 condition and 8c above the \$4.75 trigger; matches the 5 June \$4.83 with no higher print since. \$9.30 — no trend through dark sessions
Gasoline DOE regular (USRFRUSA)	4.085 (24 Aug)	no print	+1.15 vs ~2.94	Weekly. Next EIA retail print 1 Sep — there was NO 26 Aug print

DENOMINATOR DISCIPLINE (\$9.19) — THREE distinct series, never compared: AUTMUSAG (AAA all-grades) is the scored one, last at \$4.83; USRFRUSA (DOE regular, weekly) is corroboration at \$4.085; AAA's published regular headline is a third, at \$4.1014 on 26 August. A1.5.

1.4 · US retail gasoline — the two charted series (of three; see A1.5)



AAA all-grades (AUTMUSAG, navy, scored) and DOE regular retail (USRFRUSA, amber, weekly, corroboration only); dotted line is the \$4.75 threshold. On its last two printed closes the scored series moved AWAY from its \$4.60 downgrade condition, \$4.82 to \$4.83, the latter matching the 5 June print with none higher since. It has been dark on 26 and 27 August and \$9.30 reads no trend through that, in either direction.

1.5 · Strait operational — summary

Strand	State on 27 August	Source
UKMTO / incidents	NO Update 090 and NO VRA Overview No. 4 — both probed by DIRECT FILE URL and both empty, so the negative is a retrieval result, not an assumption. Update 089 (ICOD 251500 UTC) stands: count 96 , Hormuz SEVERE , Gulf of Oman MODERATE . Verbatim, and note the PAST TENSE of the original, which describes the reporting period to ICODE 251500Z: 'There remained a continued risk of drifting or uncharted mines in and near the TSS, with mine danger areas still active'. Highest warning is still 120-26 ; 121-26 probed and empty	UKMTO 089 read in full by direct file URL, 27 Aug
Transits + blockade	THREE counts for 25 Aug on three vessel universes, never to be spliced: Kpler via Reuters 5 commodity vessels (3 outbound, 2 inbound empty) against its own 10-day average of 15 COMMODITY VESSELS ; Windward 17 crossings, 11 in / 6 out, 7 of 17 dark; TankerMap ZERO tankers. IMF PortWatch is a fourth universe on a DIFFERENT DATE — 3 transits on 23 Aug — and has published nothing since. The zero-outbound day ENDED after one session — but one session is not a trend. Reuters/Kpler say 25 Aug was 'roughly the same' as 24 Aug, which does not reconcile with the 2 carried for 24 Aug — Kpler publishes a 1.5–2.0x upward revision factor on its most recent week. NO 2→5 delta is printed	Reuters (Kpler) 26 Aug; Windward 26 Aug; tankermap.com; straits.live (PortWatch)
CENTCOM / kinetic	NO CENTCOM release 26 or 27 Aug against the live index; the last combat release inside Iran is still 29 July — a 29-DAY GAP . 27 consecutive nights with no US or Israeli strike inside Iran; 7 nights with no Iranian ballistic launch and 8 with no drone launch — with the 29-day release gap, FOUR clocks, never merged. Blockade tally UNRESOLVED between two sources: UKMTO 089 attributes 71 / 3 / 2 as of 24 Aug to CENTCOM; a Tier 2 tracker records CENTCOM's own last published figure as 70 / 3 / 2 as of 23 Aug. Both reported, neither reconciled. George Washington CSG STILL in the Arabian Sea — it has not entered the Gulf of Oman or the Gulf	centcom.mil releases index, read 27 Aug; UKMTO 089; USNI Fleet Tracker
Diplomacy	Corridor PARAMETERS announced 26 Aug (7 miles wide, entry via Iranian territorial waters, Iranian permission, shared revenue) — but NO COORDINATES , NO joint declaration and NOTHING published by Oman's MFA on 26 or 27 Aug. Trump to Al Jazeera, 26 Aug: 'I have no time schedule, none. I'm not in a hurry.' US-Iran talks NOT resumed, none scheduled. NO OFAC Iran action 26–27 Aug — Bessent's threatened financial-institution designation has NOT issued and no Chinese bank is designated	Gharibabadi via Al Jazeera/Reuters/Euronews 26 Aug; fm.gov.om read direct; Al Jazeera interview 26 Aug; treasury.gov and OFAC recent actions, read direct

2 · US ECONOMIC SHOCK — ANALYSIS WITH BOND YIELDS

2.1 · Bond-yield transmission, channel by channel

MARITIME DENIAL — 5/5, at the cap. (i) The downgrade needs a verified reopening plus traffic above 25% of the UKMTO/JMIC ~138/day all-transit baseline for ten sessions, and an announced corridor is not a verified reopening. **(!)** THE RULE IS PINNED TO A DIVISOR THIS EDITION, because a bare '25% of normal' is not a test at all when six baselines are in circulation. The scored divisor is the UKMTO/JMIC ~138/day ALL-TRANSIT baseline, which is the widest and most demanding, and it is named in the rule from here on. To show why it matters: dividing Windward's 17 crossings by IMF PortWatch's 73/day front page would read 23% and put the leg 1.7 points from its threshold — a cross-universe splice \$9.24 forbids and this document does NOT make. It is arithmetic that demonstrates the hazard, not a transit reading. The traffic leg improved for exactly one session: Windward counted 17 Hormuz crossings on 25 August, 11 inbound and 6 outbound, ending the zero-outbound day of 24 August, while Kpler counted five commodity vessels against its own 10-day average of fifteen and TankerMap counted zero tankers. **(!)** Do NOT splice these universes (\$9.24): Kpler's five break down as THREE outbound and TWO inbound and belong against Kpler's own 10-day average of fifteen commodity vessels, not against the all-transit baseline. On Windward's own denominator, 17 crossings is 12.1% of normal and its six outbound is what ended the zero-outbound day. Neither figure begins a ten-session test at 25% of the scored ~138/day basis, on which 17 crossings is 12.3%. **(ii)** Name the denominator every time (\$9.19). IMF PortWatch recorded 3 transits on 23 August against the ~85/day median its JSON returns — 3.5% — while its front page publishes 73/day for the same series; this document quotes neither percentage without naming which divisor produced it, and PortWatch has published nothing past 23 August. **(iii)** The most informative datum in the window is a negative: UKMTO published no Update 090 and no VRA Overview No. 4, so the count stands at 96 and the mine position stands as written — 'mine danger areas still active' in and near the TSS. That is UKMTO's language of 25 August, issued the same day as the presidential declaration and unamended since — the relative ORDER of the two on 25 August is not established, so this is a standing contradiction rather than a rebuttal — and Iran's deputy foreign minister answered it by saying that no one but Iran knows where the mines are and that US mine-detection vessels would make 'very good targets'. Three parties, three positions, no reconciliation available.

OIL PRICE SHOCK — 2/5, HELD, and the gap has now widened twice. (i) The sequence of edition-over-edition distances to the \$95 upgrade reads 9.78, 8.43, 5.55, 5.21, 3.03, 7.73, 8.06 on the scored CO2 series — seven readings, four narrowings, two widenings, and the two widenings are consecutive. On the active contract it is \$6.42 to \$7.16. Brent has now closed down on three consecutive sessions, 92.67 to 90.54 to 87.27 to 86.94, and printed \$86.42 intraday on 27 August. **(ii)** The proximate driver on this monitor's reading is a corridor headline rather than a barrel — but say what the record actually supports. No named, dated wire attribution for the 26 August move was obtainable, and the only analyst on the record as to CAUSE attributes it to headline fatigue rather than to the corridor; the other assigns no driver at all: Amrita Sen of Energy Aspects to CNBC — 'this whole thing is a mess'; Carly Garner of DeCarley Trading, that the US claim of 8–9 mb/d still moving out of the Gulf is 'probably too optimistic' because 'if it wasn't, we would probably see much higher prices', and that 'markets get tired of war headlines'. Set the price against the physical record in the same window and the divergence is the analysis: the EIA reported US commercial crude essentially unchanged at 428.9 mn bbl on crude imports of 6.2 mb/d, the SPR drew a further 3.7 mn to 289.7 mn, distillate stocks sit about 14% below their five-year average and gasoline stocks about 14% below on the EIA's own wording, against about 5% below a fortnight ago — a shift the weekly draws do not account for, flagged in A1.3 and not reconciled — and Kpler puts Chinese imports of Iranian crude routed through Hormuz at about 530 kb/d across July and August combined, 48% below pre-war and 72% below the October 2024 peak. **(iii)** The basis check clears and the roll disclosure stands. CO2/COA has compressed smoothly 1.31 → 0.90 → 0.81 with no sign change; CL2/CLA runs 1.71, 1.48, 1.38 and 1.43 across the same four sessions with no sign change. The July roll artifact remains an open methodological item — the scored continuation closed above \$95 twice in late July on days the active contract never cleared it, so never write that Brent has not closed above \$95 since the channel was cut (\$9.36). The downgrade needs a mediated pause AND a close at or below \$72.48; the price leg is \$14.46 away and NARROWED by \$2.85 on the week — be exact about the direction: a falling Brent moves TOWARD the downgrade and AWAY from the upgrade, and this week it did both.

US INFLATION IMPULSE — 5/5, at the cap, and the firing trigger round-tripped for a second time. (i) Lead with the fact that cuts against the score (\$9.26), then bound it. The 5y5y forward closed 2.2991% on 25 August, below the 2.30% level whose sustained break fired this channel from 4 to 5 on 31 July — and closed back ABOVE it at 2.3032% on 26 August. That is the second single-close break of the current regime and the second to be retraced inside one session, after 2.2900% on 13 August was retraced on 14 August. \$4a is vindicated again, and the count is stated rather than asserted: these are the ONLY two single-close breaches of 2.30% in the current regime, 13 August and 25 August, and BOTH were retraced inside one session. A channel moved on either close would have been wrong within twenty-four hours. **(ii)** The documented downgrade is a sustained close at or below the 2.142% pre-war anchor, and the gap WIDENED to 16.12 bp from 15.71. The rule is not being moved to meet the trigger; the distance between the firing level and the downgrade level is published rather than closed. **(iii)** The corroborating series moved the same way and further. Ten-year breakeven compensation closed 2.3260%, 6.91 bp above its 2.2569% pre-war anchor, from 5.66 bp. The important development is not in the forwards at all — it is that the realised inflation data arrived hot on 26 August and the forwards barely moved. Headline PCE printed +0.2% m/m and +3.7% y/y against consensus of +0.1% and 3.6%, and the BEA's own spending table shows gasoline and other energy goods contributing +\$16.4bn, the largest single positive goods line, inside an overall goods decline of \$49.9bn. Consumers are cutting everything except the thing the war made expensive, and the forward market is pricing that as a relative-price event rather than a regime. This channel holds at 5 because the pass-through is visible in the primary data; the compensation market disagreeing with it is the tension the channel exists to carry.

TREASURY STRESS — 5/5, HELD, and \$9.15 is RESTORED after exactly one session. (i) Be precise, because this document said the opposite yesterday. The 26 August edition recorded that the two downgrade legs CONVERGED on 25 August — MOVE to 71.92 and the yield gap to 16.51 bp — and said \$9.15 no longer fitted. On 26 August they rotated apart again: MOVE fell a further 2.48 points to 69.44 while the 30-year gap WIDENED to 16.71 bp. One leg improved, the other deteriorated, which is the definition of rotation. \$9.15 held from 6 August, failed for one session on 25 August, and is back. The correct statement is that the convergence was a session, not a regime — the same discipline \$9.18 imposes on MOVE itself, applied to the relationship between the legs. **(ii)** The volatility leg is a regime and is no longer arguable. MOVE has closed below 75 on seven consecutive sessions, 18 through 26 August. Bound it (\$9.32): the war has seen a twenty-one-session run from 10 June and a seventeen-session run from 9 April, and — the figure that actually settles it —

the longest run anywhere between 10 July and 18 August was FIVE sessions, 15–21 July. So this is the longest run since 10 June–10 July, and 69.44 is the second-lowest close of the sub-75 phase that began on 12 August, behind the 69.23 of 13 August — it is not a war low, which is 65.39 on 18 June. (iii) The yield leg fails and it failed by more. The rule requires a 30-year close below 5.00% sustained; 16.71 bp is NOT inside a single session's range on this tenor — the largest one-day 30-year move since 1 August is 9.15 bp, and the last three sessions moved 4.64, 5.94 and 0.20 — so the yield leg is roughly two to three sessions away, not one. It is also the wrong side of yesterday's 16.51, and the 27 August intraday has widened it again to 18.27 bp. The honest reading of 26 August is that the long end was the ONE part of the curve that did not move: 2-year +3.52 bp, 5-year +2.66, 10-year +1.77, 30-year +0.20. The war has not stopped mattering to the 30-year; it has stopped being the thing that moves it on a given day, and on 26 August the thing that moved the curve was a domestic inflation print.

POLITICAL STRESS — 5/5, at the cap, and the scored series is dark for a second session. (i) The scored AUTMUSAG all-grades series last printed \$4.83 on 25 August — 23 cents above the named \$4.60 downgrade condition, eight cents above the \$4.75 trigger that fired the upgrade, and matching the \$4.83 of 5 June with no higher print since. It has no 26 or 27 August value. \$9.30 binds: no trend is read through dark sessions in either direction, and the 14 August precedent — a six-session decline that reversed completely on two upward backfills — is why. (ii) The direct reads show a single small uptick, not a turn. AAA regular fell to \$4.0969 on 25 August and then rose 0.45 cents to \$4.1014 on 26 August — a sub-half-cent move on a series still below its month-ago \$4.1101, and not enough to call a direction; there is no EIA weekly retail print for 26 August — the series ran on 25 August and next runs on 1 September. (iii) Diesel took a fourth war high and decelerated doing it. AAA diesel reached \$5.6230 on 26 August, taking out the previous day's \$5.6199 and leaving 19.29 cents to the all-time record of \$5.8159. But the seven-day change slowed from +15.22 cents to +11.88. Report both halves: the level is a record and the momentum is fading, and neither can move this channel, because the political channel is scored on AUTMUSAG and AUTMUSAG did not print. The freight-fuel shock remains real, arriving, and invisible to the series the score is written against.

ESCALATION RISK — 5/5, at the cap. The KINETIC case for a downgrade is the strongest this monitor has recorded; the **DIPLOMATIC** case moved backwards on the same day. (i) State the kinetic case at full strength. The corridor moved from framework to named parameters; **FOUR** separate clocks, and they must not be merged: CENTCOM's combat-release silence has reached 29 days; 27 consecutive nights have passed with no US or Israeli strike inside Iran; 7 with no Iranian ballistic launch; and 8 with no drone launch. Alongside the kinetic silence, three NON-KINETIC items sit on the same side of the ledger — and they are the same items that carry the mediated-pause line in \$5, so they are not counted twice here: no OFAC Iran action issued on 26 or 27 August and the financial-institution designation Bessent signalled 'before end of week' has not appeared; Qatar telephoned both foreign ministers; and Iran routed the file from the Supreme National Security Council to its foreign ministry, with no public intervention at all in the window from SNSC Secretary Mohsen Rezaei, whose 24 August naming of Saudi and Emirati bypass pipelines as targets remains unretracted and remains single-stream Tier 3. Axios reports Secretary Rubio telling allied foreign ministers the US expects no new strikes on Iran 'for the time being', possibly until after the November midterms — two unnamed officials, and NO confirmation or denial from State, the Department of War or the White House could be sourced through the cutoff, so it **CORROBORATES** the observed silence rather than establishing a policy. (ii) It is held, and \$9.11 is the reason. An announcement is not an event. Talks have not convened, none are scheduled, and the President of the United States said on 26 August that he has 'no time schedule, none' and is 'not in a hurry'. A mediation track with no timetable on one side and a lapsed memorandum as its legal hook on the other is not a stand-down. (iii) And the corridor's own terms cut against the downgrade rather than for it. On Tehran's own Tier 3 account — the only account there is, since Oman has published no TEXT — its foreign minister's single word on it is an X post hoping to announce the corridor 'soon' — entry through Iranian territorial waters, passage by Iranian permission and a negotiated split of the strait's waters and revenues, sitting alongside a transit-fee article that cleared a parliamentary committee on 23 August but has NOT been enacted and a list of non-compliant vessels published by Iran's Ports and Maritime Organisation-linked PGSA on 23 August — reported at 46 ships by gCaptain and 45 tankers by Reuters, two counts on different units, neither reconciled — describe a state building the legal architecture of a controlled strait rather than an open one. The tier is the qualification and it is carried here rather than dropped: if Oman contradicts the revenue-sharing claim, this reading weakens and the mediated-pause line moves. The instrument that would displace the US-backed southern Omani lane is being announced by the party enforcing the closure. That is a change in the form of the denial, not its removal — and section 5 moves for it while this channel does not.

2.2 · Stage-4 thresholds

A — NOT ARMED, and UNTESTABLE AS WRITTEN (\$9.39). A is a failed-auction test — an auction clearing with a tail above its when-issued level — and Treasury publishes no when-issued level at all, so no first-party Treasury source can ever confirm a tail. Dealer and terminal when-issued levels exist, but they sit outside every Treasury release. The clearing statistics are the substitute and they are reachable every time. The 26 August \$70bn 5-year (CUSIP 91282CRK9) cleared at a high yield of 4.3930% with bid-to-cover 2.37, 19.22% of the competitive award allotted at the high yield. Name the denominator (\$9.40): primary dealers took 10.05% on competitive-accepted and 10.02% on total-award-ex-SOMA; indirects 61.51% and 61.34%; directs 28.44% and 28.36%. This is the FOURTH consecutive COUPON auction — three nominal notes and the 30-year TIPS — to clear with a dealer backstop in single or low double digits — 12.34% on the 20-year, 2.09% on the 30-year TIPS, 10.90% on the 2-year and 10.05% here, all four on the competitive-accepted denominator so the run is on one basis — and the lowest of the three nominal coupons. The line worth naming is DIRECTS at 28.44% against indirects at 61.51%. Be careful with it: indirects still took more than twice what directs did, and NO trailing average for this tenor is published in this document, so a composition change is NOT asserted. What is asserted is that a 28.44% direct share is large in absolute terms and that the dealer backstop was not needed. The \$28bn 2-year FRN reopening cleared at a 0.0550% high discount margin on a 3.14 bid-to-cover; its 33.08% dealer take on competitive-accepted is structurally higher on floating-rate paper and must NOT be spliced into the coupon series. The \$44bn 7-year is auctioned at 1:00pm ET on 27 August — after this cut. That is PROSPECTIVE, not NOT OBTAINED (\$9.46). Source: api.fiscaldata.treasury.gov auctions_query, read directly; the TreasuryDirect PDF endpoints remain empty to a fetcher.

B — STILL LAPSED, and there was NO fourth one-session round trip. The test is a 30-year above 5.20% with a 10-year above 4.65%. On the 26 August close the 30-year was 5.1671%, short by 3.29 bp, and the 10-year 4.6465%, short by 0.35 bp. (!) THE ORDINALS ARE RECOMPUTED THIS EDITION AND THE LAST EDITION'S WERE WRONG BY ONE. The sequence since 29 July is armed 29 Jul–3 Aug, out 4–5 Aug, in 6 Aug, out 7 Aug, in 10–12 Aug, out 13 Aug, in 14–18 Aug, out 19 Aug, in 20–24 Aug, out 25–26 Aug: five armings, five

lapses, TEN states and NINE changes. The 26 August edition published 'sixth lapse, eleventh state, tenth change'; **the correct figures are the FIFTH lapse, the TENTH state and the NINTH change, and this lapse is now two closes old.** Eight of the previous nine states lasted three closes or fewer and four lasted exactly one. The 26 August edition flagged a re-arm as the live question and it did not happen — **but only just: 0.35 bp on the 10-year is the narrowest single-leg miss this threshold has recorded. On the 27 August intraday the 10-year leg is SATISFIED at 4.6624% and the 30-year fails by 1.73 bp, so B is one leg away and that leg is inside a session's range.** The standing inference holds: 4.65% and 5.20% are the middle of the distribution, not its edge.

C — 69.44, some 60.56 points below the 130 trigger. Bound it (\$9.32): this is **not** the furthest MOVE has been from C in the war — the WAR low is 65.39 on 18 June — and it is **not** the lowest close since the current sub-75 phase began on 12 August, which is the 69.23 of 13 August. The war high of 115.02 (26 March) is 45.58 points away. **The pairing is the point and it has widened: MOVE now sits 3.94 points BELOW its pre-war anchor while the 30-year sits 55.65 bp ABOVE its own.** Seven sessions into the current run — and note the two dates are different things: the sub-75 PHASE opened on 12 August and was broken by closes of 75.63 and 74.98 on 17 and 18 August, while the unbroken RUN dates from 18 August — a fully normalised expectation of movement is priced around a yield that has not normalised at all — and on 26 August the market reduced its expectation of movement on the day it received an upside inflation surprise.

2.3 · Cross-asset and macro record — compressed

26 August was a heavy US data day and it landed BEFORE the Singapore cut, so unlike the prior edition this one has it. July PCE: headline +0.2% m/m and +3.7% y/y, both above consensus; core +0.2% and +3.3%, both in line; real PCE FLAT at 0.0%; the saving rate 3.0%. Durable goods +1.1% to \$339.3bn, ex-transport +0.4%. The Q2 GDP second estimate held at +1.5% SAAR but revised inflation UP — PCE price index +5.3% (+0.2pp), core +3.6% (+0.2pp) — while real final sales to private domestic purchasers were revised UP 0.3pp to +4.2%. Atlanta Fed GDPNow was revised UP to 4.6% for 2026:Q3 on 26 August, from 4.0% dated 18 August. Hold those together carefully, because GDPNow is a REAL nowcast: 4.6% real for Q3, against a July in which real consumer spending printed FLAT and headline inflation printed 3.7% y/y. That is an internally strained picture — a strong Q2 on final domestic demand at +4.2% real, a JULY consumer month (one month, not the quarter) in which real spending printed flat, and an upside inflation surprise — and it is the inflation half of it that the front end repriced. The live Fed risk remains a September HIKE, not a cut — the 28–29 July FOMC held 3.50–3.75% on a 9–3 vote with all three dissents for a hike, and the next meeting is 15–16 September. No probability is ADOPTED by this document, and none is scored on: no direct CME FedWatch print is obtainable, and the only figures in circulation are RELAYED — one from a Tier 3 aggregator, six days stale to this window, and one from a Tier 1 standfirst. Both are relayed in A2.3 and labelled there; neither is adopted. Jackson Hole opens 27 August on the theme 'Financial Innovation: Implications for Payments and Policy', with Warsh's first keynote at 10:00 ET Friday 28 August. The KC Fed has NOT published the programme — its practice is to release it the evening the symposium opens — so what it contains is unknown; on the announced theme alone, an energy-shock signal would more likely come from remarks around the programme than from it. Initial claims for the week to 22 August and the 7-year auction are 27 August US-hours events and are PROSPECTIVE. Full record — EIA weekly, freight, war-risk and gas storage in A1.3 and A1.6, macro and auction internals in A2.3.

3 · SHOCK SCORE

Channel	Score	Rationale (detail in 2.1)	Move
Maritime denial	5	Hormuz SEVERE unchanged, count 96, no Update 090. Kpler 5 commodity vessels against its own 10-day average of 15 commodity vessels; Windward 17 crossings, 12.3% of the scored ~138/day baseline	Held — at cap
Oil price shock	2	Brent \$86.94 close, third consecutive down-close. Upgrade \$8.06 away on CO2 and \$7.16 on the active — widened for a second time	Held — gap widened again
US inflation impulse	5	5y5y closed back ABOVE its firing trigger after one close below; downgrade anchor 16.12 bp lower, widened . The nearest market downgrade candidate numerically, at 16.12 bp. Headline PCE 3.7% y/y	Held — at cap
Treasury stress	5	Volatility leg satisfied on seven consecutive closes, the latest at 69.44; yield leg fails by 16.71 bp, widened. The legs rotated apart again — \$9.15 restored	Held — the second-nearest market downgrade candidate, 16.71 bp against 16.12
Political stress	5	AUTMUSAG DARK for two sessions; last print \$4.83, 23c above the \$4.60 condition. Diesel a fourth war high; scored series cannot see it	Held — at cap
Escalation risk	5	Corridor parameters announced but no coordinates, no declaration, no talks and no timetable (\$9.11). 29-day CENTCOM combat silence	Held — at cap
TOTAL	27 / 30	CRISIS band (22–30). Thirteenth consecutive edition at 27. FIVE of six channels sit at the cap, so no deterioration can raise this number through any of them — the sole route up is oil, at 2, and it has now moved AWAY from its upgrade in two consecutive editions	Held

4 · WHAT HAS CHANGED SINCE THE 26 AUGUST EDITION

1. The corridor acquired parameters and did not acquire coordinates. Gharibabadi, 26 August: **seven miles wide, entry through Iranian territorial waters, temporary**; an IRGC spokesman on agreed shares of waters and revenues; an army spokesman on passage by Iranian permission. **No coordinates, no joint declaration, and Oman's MFA published nothing on it on 26 or 27 August.**

2. Trump removed the timetable. To Al Jazeera on 26 August: **'I have no time schedule, none. I'm not in a hurry.'** That is the clearest statement this monitor has recorded that no US–Iran talks are scheduled — and it cuts both ways, because a frozen track is neither escalation nor resolution.

3. The US bond market repriced the Fed, not the Gulf. July PCE hot on the headline (+0.2% m/m, +3.7% y/y) with core in line and real spending FLAT; **2-year +3.52 bp and 10-year +1.77 flattened 2s10s to 43.308, the flattest close since 6 August, while the 30-year moved 0.20 bp.** GDPNow revised UP to 4.6%.

4. Threshold B did NOT re-arm — no fourth one-session round trip. 30-year short by 3.29 bp, **10-year short by 0.35 bp, the narrowest single-leg miss recorded.** On the 27 August intraday the 10-year leg is SATISFIED and only the 30-year fails.

5. \$9.15 is restored after one session. The legs converged on 25 August and rotated apart on 26 August — **MOVE to 69.44, a seventh consecutive close below 75, while the 30-year gap WIDENED 16.51 to 16.71 bp.** The US-inflation gap widened too, 15.71 to 16.12, as 5y5y closed back above 2.30%.

6. The SPR broke 290 and the EIA's own endpoints could not be trusted to say so. A further 3.7 mn bbl drawn to **289.7 mn**, sourced to spr.doe.gov; crude imports 6.2 mb/d with a 6.6 four-week average; **gasoline stocks about 14% below the five-year average on the EIA's own wording, against 5% below a fortnight ago — a shift the weekly draws do not account for and which is NOT reconciled. New pitfall \$9.45.**

7. A fourth consecutive low dealer backstop, with the buyer changing. The \$70bn 5-year cleared 4.3930% on a 2.37 cover with **dealers at 10.05% and DIRECTS at 28.44% of competitive-accepted — a fourth consecutive low dealer take.** A 28.44% direct share is large in absolute terms; **no trailing average is published here, so no composition change is asserted.**

8. Diesel set a fourth war high and slowed. AAA diesel **\$5.6230**, 19.29 cents from the record, but +11.88c on the week against +15.22c. AAA regular ticked up 0.45c — a print, not a turn. The scored AUTMUSAG series went dark for a second session and no trend is read through it (\$9.30).

5 · SCENARIO MAP

Scenario	Prob.	Shift and reasoning	Market implication
Deal collapse on terms	42%	–1, modal for a tenth edition. The corridor's terms as described BY TEHRAN — Iranian entry waters, Iranian permission, shared revenue — are precisely the terms a US–Iran settlement collapses over. No US position on them could be sourced in the window	Brent firmer; strait stays shut
Return to full war	18%	–2, a THIRD consecutive cut. FOUR non-comparable clocks, all longer: a 29-day CENTCOM combat-release silence, 27 nights with no strike inside Iran, 7 with no Iranian ballistic launch and 8 with no drone launch. The Rubio report corroborates the silence; it does not establish a policy	Brent above \$110; 30-year above 5.40%
Contained but violent	23%	+1. UKMTO's mine language stands unamended against a presidential declaration, and Tehran answers that US mine-hunters would be 'very good targets'. A disabled tanker off the Omani coast is three days old, its distance offshore unresolved between sources (A1.4)	Current regime persists; diesel leads
Regional relapse	9%	Unchanged, deliberately. SNSC Secretary Mohsen Rezaei made no public intervention at all in the window and the file has moved to the foreign ministry — an argument for a cut — but his 24 August naming of Saudi and Emirati bypass pipelines as targets, reported single-stream and Tier 3, is unretracted. Held rather than moved on one quiet session	Gulf risk premium re-rates
Mediated pause	8%	+2, a SECOND consecutive rise, and the non-Tier-3 evidence is stated first. Qatar's prime minister telephoned BOTH foreign ministers on 25 Aug, and Iran's file has visibly moved from the SNSC to the foreign ministry with no Rezaei intervention at all. The corridor parameters are Tier 3 and corroborate rather than drive this. Not talks — none convened, none scheduled, no timetable	Brent toward \$72–80
Total	100%	Deal collapse and full war carry 60%, DOWN from 63% and from the 67% high of 21 August — a second consecutive fall and 7 points in two editions. Four of five scenarios still keep the strait shut, so 60% is NOT a label for 'the strait stays shut'	—

6 · WATCHLIST · NEXT 24–72 HOURS

1. Whether Threshold B re-arms on the 27 August close. The 10-year leg is ALREADY satisfied on the intraday at 4.6624% and only the 30-year fails, by 1.73 bp. **A re-arm would be the SIXTH arming and would follow a two-close lapse, so it would NOT be a one-session round trip — do not call it one.** (The three one-session re-arms of the war are 10, 14 and 20 August.)

2. Whether the two Treasury downgrade legs rotate or converge. 16.71 bp on the close and 18.27 intraday, against a volatility leg seven sessions old at 69.44. **The US-inflation leg is numerically nearer at 16.12 bp but sits on a forward that has now broken and retraced within a session twice. Hysteresis requires sustained (\$4a, \$9.18).**

3. Whether coordinates are ever published. Coordinates, not communiqués, are the test, and the second test is whether OMAN publishes at all — its MFA has said nothing about the corridor since the 25 August joint statement. Watch fm.gov.om and ONA. **The joint DECLARATION remains Qatar's gate on all mediation and is still not issued.**

4. Whether UKMTO Update 090 and VRA Overview No. 4 land, and whether the mine language changes. Both were probed by DIRECT FILE URL and both are empty; No. 4 is due about 28 August. **Update 090 is the instrument most likely to settle the mine dispute; a NAVCENT or CENTCOM mine statement would also do it, and none issued in the window.**

5. Whether Bessent's financial-institution designation issues, and whether it reaches a Chinese bank. It did not appear on 26 or 27 August despite a 'before end of week' signal. **AP reports the September Xi state visit as the constraint.** Watch OFAC recent actions and the Federal Register; it would land on top of Warsh's Friday keynote.

6. Whether Brent stabilises or takes a fourth down-close, and whether outbound traffic holds. Windward's six outbound vessels on 25 August ended a zero-outbound day; **one session is not a trend, and Kpler's own 1.5–2.0x revision factor means no same-day delta is assertable.** Quote both oil bases every time (\$9.36).

Sections 7–9 and the anchor and trigger levels are published verbatim in the companion ANNEX for 27 August 2026 (A1, A2.3, A7–A10), delivered alongside this document. All prices, yields, spreads and both gasoline series come only from the Tecity Bloomberg extract. **Figures marked NOT OBTAINED are absent from the record, not unchanged; figures marked PROSPECTIVE relate to a US session that had not begun at the Singapore cut.**